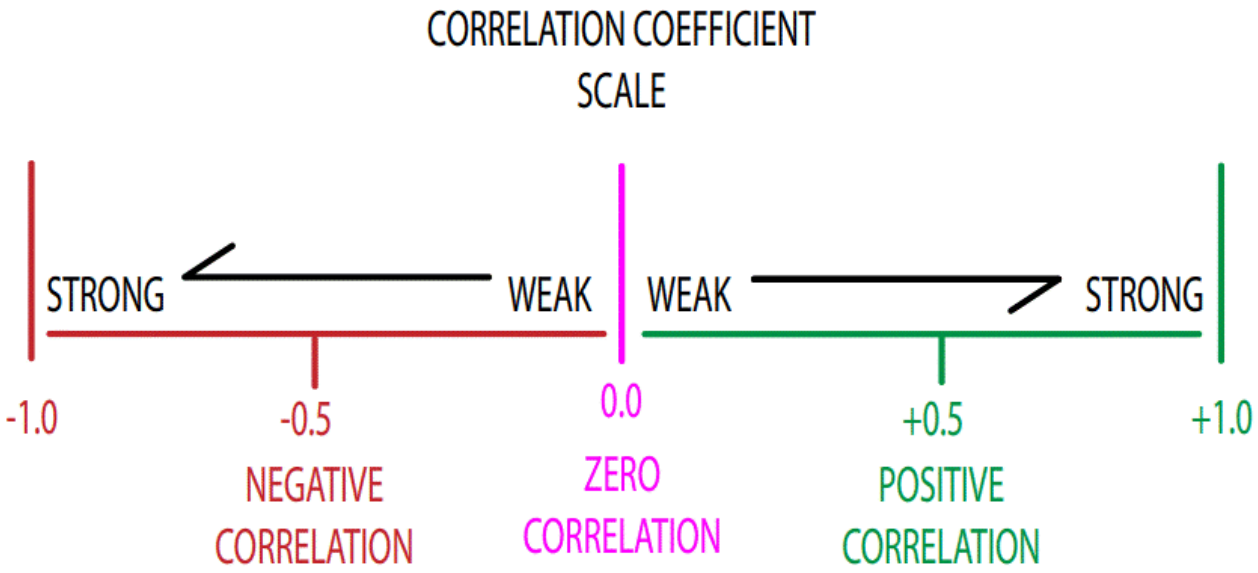
In this lesson, we will learn about market correlation and how they can be used to support our analysis.

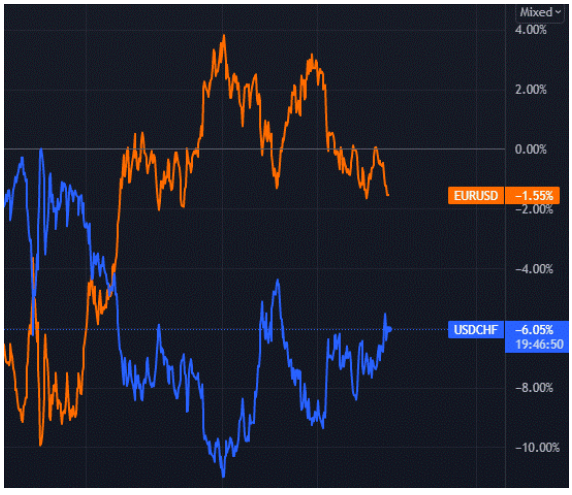
Correlation in Currency Pairs

A currency pair's correlation can be used to describe the relationship between two or more pairs of currencies. It can also be used to describe the relationship in movements of other markets and commodities.

The correlation coefficient is a statistical measure that ranges between -1 and +1. A +1 positive correlation means one currency will move in the same direction as the other currency/commodity 100% of the time & a -1 negative correlation means one currency will move in the opposite direction to the other currency/commodity 100% of the time. However, these perfect correlations are only possible for short periods at a time. A correlation coefficient of zero means there is no correlation at all. In science, a zero correlation means the two variables are completely unrelated to one another, but since there is always some degree of connection in the foreign exchange market, however remote, it is reasonable to say we just cannot predict how the movement of one market with affect the other.

0.0-0.3: No to weak correlation
0.4-0.5: Moderate but unpredictable correlation
0.6-0.8: High correlation
0.9-1.0: Strong correlation



Positively correlated pairs	Negatively correlated pairs
EUR/USD & AUD/USD AUD/USD & NZD/USD USD/CHF & USD/JPY GBP/USD & GBP/JPY	EUR/USD & USD/CHF GBP/USD & USD/JPY USD/CAD & AUD/USD GBP/USD & USD/CHF
	
	

When choosing a currency correlation strategy, consider the diversification of the two markets. It will help minimize volatility and improve risk management. Trading Inversely correlated markets can create scenarios where one trade's/position's profit can cancel or reduce the other trade's/position's loss, this is considered hedging. I would not advise this for the uninitiated, but there may be situations during a swing position where doing so can protect you against short-term drawdowns. In the stock market you can place protective PUT options to hedge your position during market drawdowns in a recession. There can be significant correlations between ETF's and common blue chip stocks.

Before placing a trade, consider whether the markets are currently correlated, and if one market is leading another, or whether price is diverging, moving against each other. For example, the Australian Dollar is often positively correlated with gold. If the Australian dollar(AUD/USD) is long you can take look to take another long position in gold (XAU/USD) and double up in profits. This also reduces your risk exposure from any bearish outlook on the dollar index while still maintaining a bullish perspective. You can also take a short position in an inversely correlated pair like the Swiss Franc during market pullbacks or market rallies and that's considered hedging. So when the Australian dollar(AUD/USD) rallies we can expect a selloff in Swiss Franc (USD/CHF). Timing these positions is critical and requires back testing because correlations do shift from economic & political factors.

Safe haven assets

A safe-haven asset is a financial instrument that is expected to retain, or even gain value during periods of economic downturn. These assets are uncorrelated or negatively correlated with the economy as a whole, which means that they could appreciate in the event of a market crash.

There are certain characteristics that assets often have that contribute to their reputation as a safe-haven, which include:

- **Liquidity**: the asset needs to be easily convertible to cash, at any time
- **Functionality**: the asset needs to have a use that will continually provide long-term demand
- **Limited supply**: the growth of supply should never outweigh the demand
- **Certainty of demand**: the asset is unlikely to be replaced or become outdated
- **Permanence**: the asset should not decay or rot over time

Not every safe-haven will have all of these characteristics, so investors have to make a judgement about the most suitable safe haven for the economic climate. It is important to remember that what makes a good safe-haven for one market downturn may not show the same results in another, so investors have to be clear about what they are looking to gain from using safe-haven investments.

How to trade safe-haven assets

Market downturns are an inevitable part of market cycles, which means that it is in an investor's best interest to prepare themselves for them as much as possible.

In times of financial crisis, assets that are viewed as safe-havens tend to outperform the vast majority of markets. Although safe havens are primarily used by investors to protect the value of their portfolio, it is important for traders to be able to identify safe-haven assets, and use this understanding to anticipate price movements and implement their own strategies.

For example, the move out of 'riskier' assets could cause a sudden drop in the market price as investors flock to safe-havens, which means that you might consider getting out of any long positions or going short. But if you're confident that you can identify the safe-havens of the moment, then there is the potential to profit from rising prices.

There is no definitive way to trade the patterns of safe-haven assets, as it all depends on your motivation. But whether you are looking to take advantage of price movements or adjust their own positions to protect themselves from falling prices, it is crucial to understand the prevailing market sentiment surrounding safe-havens.

Examples of safe-haven assets

Popular safe-havens can change over time, so it is important to keep up with investment trends. However, there are a few safe-havens that have remained favorites over the years, including:

1. US dollar
2. Japanese yen
3. Swiss Franc

US dollar

For over 50 years, the US dollar has been one of the most popular safe-havens during economic downturns. It exhibits a number of safe-haven characteristics – most crucially, it is the most liquid currency on the forex market.

This confidence in the US dollar came from the 1944 Bretton Woods agreement, which introduced the fixed currency system and made the dollar the world's primary reserve currency. Even after this system was abolished, the US dollar retained its position as a safe-haven because it represented the world's largest economy.

Although many thought the dollar's status as a safe-haven would be damaged by increased volatility, caused by US President Donald Trump's controversial politics, it would seem that it is still benefitting from safe-haven flows. For example, although trade tensions caused fluctuations across stock markets and commodities, the US Dollar Index saw an increase of 5.29% between January and August 2018.

Japanese yen

The Japanese yen is thought of as a safe-haven as it often appreciates against the dollar when US stocks and government bonds experience volatility.

Post-World War II, the Japanese economy was restructured, which enabled it to catch up with other global economies. The Bank of Japan (BoJ) became highly respected and the yen was established as a major global currency. Despite continued interventions from the government, the liquidity of the yen has continued to attract investors in times of financial distress.

The yen earned its reputation as a safe-haven due to Japan's high trade surplus versus its debt. The value of foreign assets held by Japanese investors is far higher than Japanese assets owed by foreign investors – this means that when markets become 'risk off', money moves out of other currencies and back into domestic markets, which strengthens the yen.

Another part of the reason that the yen continues to act as a safe-haven during periods of market turbulence, is because everyone believes that it is. In a similar way to gold, it has become a self-fulfilling prophecy.

Swiss franc

A study by the central bank of Germany, Deutsche Bundesbank, found that the Swiss franc often appreciated when the global stock market showed signs of financial stress.

Common reasons that investors favor the Swiss franc as a safe-haven currency include the political neutrality of the Swiss government, the strong Swiss economy and their developed banking sector.

The country's independence from the EU has also made it a popular haven for capital during negative political and economic circumstances. In fact, during the eurozone crisis, so much money was flowing into the franc that the Swiss central bank introduced a temporary currency peg against the euro to try and weaken their domestic currency.